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Microsoft

First Quarter Fiscal Year 2027 Outlook

July 29, 2026

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We do not undertake any duty to update forward-looking statements.

FY27 Q1 Outlook

Foreign currency impact	• Decrease to total revenue growth by less than 1 point, with roughly 1 point in Productivity and Business Processes, less than 1 point in Intelligent Cloud, and no meaningful impact in More Personal Computing • No meaningful impact to COGS or operating expense growth
Total Company	• Revenue of $89.85 to $90.95 billion
Productivity and Business Processes	• Revenue of $36.7 to $37.0 billion
Intelligent Cloud	• Revenue of $40.95 to $41.25 billion
More Personal Computing	• Revenue of $12.2 to $12.7 billion
Cost of revenue	• COGS of $29.6 to $29.8 billion
Operating expenses	• Expenses of $16.8 to $16.9 billion
Other income and expense	• Expected to be roughly $(100) million excluding any impact from our investments in OpenAI
Operating margin	• Expected to remain relatively flat year-over-year
Effective tax rate	• Approximately 20%
Capital expenditures	• Expected to be over $50 billion including the lease reclassification impact from the useful life update

FY27 Q1 Outlook Detail

Commercial Business

Commercial bookings	• Healthy growth on a growing expiry base when adjusted for OpenAI contracts in the prior year
Microsoft Cloud gross margin percentage	• Relatively stable quarter-over-quarter

Productivity and Business Processes

Microsoft 365 Commercial cloud revenue	• Growth of approximately 15% in constant currency • Growth of approximately 16% in constant currency when adjusting for prior-year in-period revenue recognition
Microsoft 365 Commercial products revenue	• Growth in mid-single digits
Microsoft 365 Consumer cloud revenue	• Growth in the mid-teens
LinkedIn revenue	• Growth in high-single digits
Dynamics 365 revenue	• Growth in low-teens

Intelligent Cloud

Azure and other cloud services revenue	• Growth of approximately 45% in constant currency
Server products revenue	• Decline in low- to mid-single digits

More Personal Computing

Windows OEM and Devices revenue	• Decline in low-twenties
Search advertising revenue (ex TAC)	• Growth in mid-single digits
XBOX revenue	• Content and services revenue expected to decline in mid-single digits • Hardware revenue should decline year-over-year

Outlook

2026 Calendar Year

Capital expenditures	• Investment expectations remain unchanged. Capital expenditures are expected to be approximately $175 billion, including the impact of the useful life change on future lease classification.
Azure and other cloud services revenue	• Growth in H1 of FY27 expected to accelerate when compared to H2 FY26

FY27 Full Year

Foreign currency impact	• Decrease full-year revenue growth by less than 1 point • No meaningful impact to COGS or operating expense growth
Revenue	• Total revenue expected to grow double-digits
Microsoft 365 Commercial cloud revenue	• Growth expected to show acceleration through the year
Microsoft 365 Commercial products revenue	• Decline in the mid-single digits
Server products revenue	• Decline in the mid-single digits
Windows OEM and Devices revenue	• Decline in high-teens
Operating expenses	• Growth in mid- to high-single digits
Operating income	• Operating income expected to grow double-digits • Operating margin expected to be down less than a point
Effective tax rate	• Approximately 20%
Capital expenditures	• Expected to grow year-over-year
Cash flow	• Free cash flow expected to remain positive

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